

ALIGNMENT ASSESSMENT OF THE FAIR LABOR ACCREDITATION FOR MANUFACTURING WITH OECD DUE DILIGENCE STANDARDS

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Foreword

This report presents the findings of the **OECD's assessment** (standards-only) of the Fair Labor Association's (FLA) **Fair Labor Accreditation for manufacturing** (2022 edition) (hereafter 'Standard') (FLA, 2022^[1]) and corresponding guidance against the recommendations of OECD Due Diligence Guidance for Responsible Supply Chains in the Garment & Footwear Sector (hereafter 'OECD Garment Guidance'). The standards-only assessment took place between May 2024 and June 2026. **This assessment did not include an assessment of the initiative's implementation of its Standard or of its internal governance and management systems.**

The assessment is part of the OECD's ongoing work with sustainability initiatives in the garment and footwear sector. Completed assessments are publicly available on the OECD's website (OECD, n.d.^[2]). Please refer to the assessment methodology (OECD, 2024^[3]) for further details.

The OECD Garment Guidance provides enterprises in the garment and footwear sector with step-by-step recommendations for how to conduct risk-based responsible business conduct (RBC) due diligence in order to identify and address actual and potential adverse impacts in their operations and supply chains. The Guidance is relevant for all enterprises in the sector, at all stages of the supply chain. This includes, among others, retailers, brands, manufacturers, textile producers, global commodities traders, ginners and raw material producers.

The OECD Secretariat would like to thank FLA and its staff for their willingness to undergo an alignment assessment and acknowledge the significant positive engagement and investment in terms of time spent. The OECD Secretariat would also like to thank Kumi Consulting for its support in undertaking this assessment.

This assessment was conducted with the financial support of the Sector Programme Social and Ecological Transformation of Textile Supply Chains (SETTS), which is implemented by Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) and supported by the German Federal Ministry for Economic Cooperation and Development.

This standard-only assessment did not include an assessment of FLA's implementation of its standard or of its internal governance and management systems. Alignment assessments do not evaluate or draw conclusions about the adequacy of due diligence conducted by individual enterprises that participate in, are members of or are certified by the initiative under assessment (OECD, 2024^[3]).

By starting the alignment assessment process and using the alignment assessment tool (OECD, n.d.^[4]), initiatives agree to abide by **terms and conditions of use** (OECD, 2024^[5]). The use of the alignment assessment tool and completion of an OECD alignment assessment does not imply any endorsement by or affiliation with the OECD. For an initiative to claim to be aligned with OECD Due Diligence Guidance (standards or implementation), it must achieve a rating of 'fully aligned' in the overall conclusion of the relevant section of the alignment assessment.

Table of contents

Disclaimers	2
Foreword	3
1 Initiative, assessment scope and methodology	5
About the Fair Labor Accreditation for manufacturing	5
Methodology	6
Scope of the FLA Standards Assessment	8
2 Standards Assessment results	9
Overall Standards Assessment results	9
Calculation formulae	9
General strengths	9
General opportunities for improvement	10
Overarching criteria	10
Step 1 – Embed responsible business conduct in enterprise policy and management systems	11
Step 2 – Identify actual and potential harms in the enterprise’s own operations and supply chain	12
Step 3 – Cease, prevent or mitigate harm in the enterprise’s own operations and supply chain	13
Step 4 – Track	15
Step 5 – Communicate	15
Step 6 – Provide for or co-operate in remediation when appropriate	16
Additional criteria	17
Annex A. Alignment Assessment criteria and results	19
Annex B. List of key documents	26
References	27
Notes	28
FIGURES	
Figure 1. Standards Assessment: Partially aligned	9
Figure 2. Results: Overarching criteria	10
Figure 3. Results: Step 1	11
Figure 4. Results: Step 2	12
Figure 5. Results: Step 3	13
Figure 6. Results: Step 4	15
Figure 7. Results: Step 5	15
Figure 8. Results: Step 6	16
Figure 9. Results: Additional criteria	17
TABLES	
Table 1. Scope of the Fair Labor Accreditation for manufacturing – Summary	5
Table A A.1. Due Diligence criteria	19

1 Initiative, assessment scope and methodology

About the Fair Labor Accreditation for manufacturing

Fair Labor Association's (FLA) Fair Labor Accreditation for manufacturing (hereafter "Standard") applies to companies in the manufacturing accreditation programme, namely brands and Tier 1 production facilities in the garment and footwear sector. Companies are assessed against the ten *Principles of Fair Labor and Responsible Sourcing* (FLA, 2022^[1]) and *Principles of Fair Labor and Responsible Production* (FLA, 2022^[6]), noting that expectations are adapted for companies that source and those that produce goods. These principles cover key elements of due diligence, with a focus on labour issues, including systems, frameworks, policies and procedures a company must have in place to ensure that workers' rights are respected and are revised every five years. In addition, companies are required to uphold the Fair Labor Code (FLA, 2021^[7]) in their Tier 1 supply chain. The FLA complements its standards with training, tools and guidance to support companies in strengthening their systems and practices. In June 2026, 30 companies, both brands and Tier 1 manufacturers in the garment and footwear sector, were accredited (FLA, 2026^[8]), with an additional 15 companies currently pursuing accreditation. The FLA offers a second accreditation programme for companies in the agriculture sector, covering Tier 4. See Table 1 for a summary of FLA's scope of activities, as taken into account in the assessment, and as described in more detail below:

Accreditation process and performance levels: FLA member companies are required to pursue accreditation. To achieve accreditation, companies must demonstrate the effective implementation of policies, procedures and tools to identify, prevent and address labour risks across their operations and supply chains. Before being accredited, companies follow a structured, multi-year accreditation pathway. The process is designed around a series of five milestones which guide companies in progressively strengthening their management systems. The first milestones focus on establishing and demonstrating effective systems for implementing, monitoring and remediating workplace standards, while the final milestone reflects the ongoing maintenance and continuous improvement of these systems. Once accreditation is granted, companies are assessed annually against a third of the principles to verify that they are maintaining compliance with the Standard. In addition, FLA audits an agreed percentage of a company's Tier 1 manufacturers, which are included in the accreditation report.

Table 1. Scope of the Fair Labor Accreditation for manufacturing – Summary

Issue	Standard scope
Verification or facilitation	Verification
Sector focus	Garment and footwear sector
Geographical scope	Global
RBC risks scope	Human rights with a strong focus on labour rights

Issue	Standard scope
Supply chain segment and production/manufacturing processes addressed	Own operations including own production facilities, and Tier 1 manufacturers
Evaluation of products / company practices / sites / chain of custody	Company practices as well as verification at selected Tier 1 manufacturers
Subject of evaluation	Brands and Tier 1 production facilities
Number of accredited companies	30 (June 2026) ¹
Summary of core activities	Accreditation (in scope of the assessment) as well as training, tools and guidance (not in scope of the assessment)
Assurance: 1st / 2nd / 3rd party	3rd party (FLA-led verification)
Product logo	Fair Labor Accreditation badge companies are authorised to use in communications materials
Recognition of other initiatives and/or incorporation of third-party audits or other activities	No. FLA only allows companies to use third party audits as part of companies' own monitoring requirements per principle 5.

Note: FLA (2026^[8]), Fair Labor Accredited Companies, <https://www.fairlabor.org/members/fla-accredited/>

Methodology

The assessment is based on the OECD's alignment assessment methodology (OECD, 2024^[3]). For the Fair Labor Accreditation for manufacturing (hereafter "Standard"), the OECD conducted an assessment of written policies and standards (Standards Assessment). **This assessment did not include an assessment of the initiative's implementation of its written standard or its internal governance and management systems.**¹

A Standards Assessment evaluates the extent to which the initiative's written policies and standards align with the relevant OECD Due Diligence Guidance, here the OECD Garment Guidance.

Standards Assessments are based on:

- a desktop review of relevant written policies, standards, tools and methodology documents; and
- scoping interviews with staff, as relevant.

To assess the alignment of initiatives in the garment and footwear sector, the OECD has developed an alignment assessment tool (OECD, n.d.^[4]) that translates the OECD Garment Guidance into assessment criteria and guidance. Each due diligence criterion is evaluated and assigned a rating ranging from *not aligned*, *partially aligned*, *fully aligned* or *out of scope*. There are a small number of criteria which are only scored in an assessment where the initiative is *fully aligned*, as they cover actions that companies are *encouraged* rather than *expected* to take. The *governance criteria* are separately evaluated and assigned a rating of *fully addressed*, *partially addressed* or *not addressed*. The approach taken to evaluate and rate criteria depends on the initiative's scope and core activities, including whether it sets requirements for and evaluates companies' due diligence performance, or facilitates due diligence through tools, guidance or other activities.

The overall assessment result for the Standards Assessment is based on the formula in Section 2.

Facilitation versus verification initiatives

For the purpose of OECD alignment assessments, the OECD distinguishes between initiatives that:

- (1) facilitate or support the due diligence process of an enterprise, including by carrying out due diligence activities on behalf of companies, but which do not assess or certify business practices, sites or products against requirements ("**facilitation initiatives**"²); and.

- (2) set requirements for and assess or certify individual business practices, sites or products (“**verification initiatives**”³).

Many initiatives carry out a mix of facilitation and verification activities, and in these situations, the assessment can be adapted to cover both aspects.

Verification initiatives also often reward different levels of performance to participating or assessed enterprises (e.g. bronze, silver, gold or levels 1, 2 and 3). The rewarded performance level can be based on fulfilling all of the initiative’s mandatory criteria, meeting specific thresholds or scoring points from a mix of criteria. An alignment assessment can focus on one specific performance level if agreed upon in the scoping exercise.

Box 1. Assessing written standards of verification initiatives

The OECD’s Due Diligence Guidance, including the Garment Guidance, sets out recommendations by governments to enterprises. The voluntary nature of the language in the standards reflects this. In contrast, verification initiatives require certain business practices, evaluate performance against them and allow enterprises to make corresponding public claims. Verification initiatives often use language that varies in its degree of obligation. Mandatory criteria can use terms such as “shall” or “must,” while aspirational criteria tend to use terms such as “could,” “may” or “should” to express recommendations or other optional criteria. These differences in language are important because they determine what verification initiatives expect from their participating or member enterprises for a certain performance level, or in order to issue a product or facility certificate and the degree of oversight they have. While the exact wording varies according to each initiative, it is important that any requirements are set out in clear language for stakeholders. Vague, aspirational, or inconsistent language between documents can result in core due diligence elements being entirely outside the scope of what the verification initiative requires and checks. Recommendations are in practice outside the scope of verification activities.

As a result, the alignment assessments do not consider recommendations to be at the same level or have the same weight as requirements as they do not inform whether a company is certified or not, or the claims that a company can make as a result. The assessment otherwise risks allowing for *fully aligned* results for verification initiatives where the initiative does not, in practice, expect companies to fulfil the criterion.

This focus on requirements does not flow from the international instruments themselves, but from the fact that the objective of verification initiatives is to require certain business practices from companies and to allow companies to make specific public claims in terms of their performance against those requirements, whether through a certification, product label or performance level. If a verification initiative aims to align with OECD Due Diligence Guidance, this involves translating the OECD’s voluntary recommendations into mandatory requirements and integrating them into the initiative’s systems and operations.

Source: OECD (2024^[3]), Methodology for OECD alignment assessments of sustainability initiatives, <https://doi.org/10.1787/b533c060-en>.

Scope of the FLA Standards Assessment

This standard-only assessment did not include an assessment of FLA's implementation of its standard or of its internal governance and management systems. Further, alignment assessments do not evaluate or draw conclusions about the adequacy of due diligence conducted by individual enterprises that participate in, are members of or are accredited by the initiative under assessment (OECD, 2024^[3]).

For the Fair Labor Accreditation for manufacturing, the OECD conducted an assessment of written policies and standards (Standards Assessment). This section sets out the main assessment activities carried out for the Standards Assessment, as well as key methodological considerations and scoping decisions.

For the Standards Assessment, the OECD has carried out the following activities:

- a desktop analysis of the written policies and standards listed in Annex B.

Key methodological considerations:

- As FLA assesses and accredits **company performance**, this Standards Assessment focusses on the extent to which the Standard sets clear and consistent *requirements* for companies, consistent with the content in the alignment assessment criteria (see Box 1 on verification initiatives).
- While the OECD Garment Guidance expects all companies to conduct due diligence on their own operations and supply chains (OECD, 2018, p. 17^[9]), the assessment was **tailored to the specific scope of the Standard** and therefore focusses on FLA's requirements relating to companies' **own operations and Tier 1 manufacturers** (see key scoping decisions).
- The alignment assessment criteria also contain "**encouraged criteria**" (see grey-shaded criteria in Annex A). Although recommendations generally fall outside the scope of alignment assessments of verification initiatives (see Box 1), the "encouraged criteria" are an exception. Criteria of verification initiatives can be rated as fully aligned with these "encouraged criteria" if their standards incorporate these aspirational elements. Encouraged criteria are only counted when fully aligned.

Key scoping decisions included:

- Cut-off date for documents: The OECD evaluated only documents that were adopted before June 2025; documents developed or revised after this date were out of scope (see Annex B). The assessment took into account selected minor changes made during the assessment period, which clarified relevant terms and converted recommendations into requirements.
- RBC risk issues: FLA was assessed against the expectations in the OECD Garment Guidance as they relate to labour risks.
- Supply chain segment: The Standard was assessed against a Tier 1 supply chain scope. Criteria related to supply chain due diligence were therefore interpreted and rated per FLA's Tier 1 supply chain scope. Two criteria exclusively relating to the supply chain beyond Tier 1 were out-scoped and marked "out of scope" in Annex A.
- Own operations: The Standard's due diligence criteria apply to companies' own facilities. The Standard was therefore assessed against all criteria relating to own operations in the OECD Garment Guidance.
- Due diligence steps: The Standard sets expectations that relate to all six steps of the due diligence framework and was therefore assessed against all steps.

Please refer to the section "Scoping and planning" in the OECD alignment assessment methodology (OECD, 2024^[3]) for more information on scoping decisions.

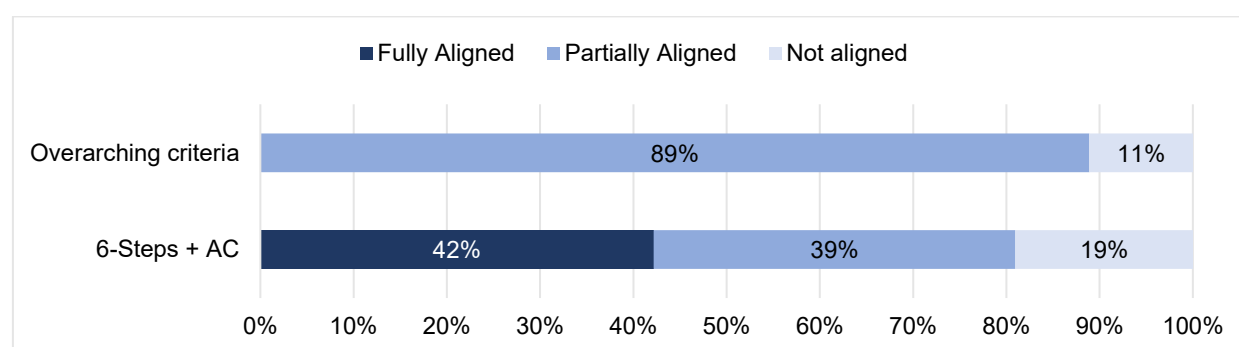
2 Standards Assessment results

This chapter presents the findings of the assessment. Findings are presented in a bar chart displaying the number of criteria found to be *fully aligned*, *partially aligned* or *not aligned* per step and calculation formulae. A number of strengths and areas for improvement are given in a narrative format to illustrate key findings. As the OECD conducted a standards-only assessment, only the overall rating for the Standards Assessment is given. For a full breakdown of ratings, see Annex A.

Overall Standards Assessment results

The overall result for the standards assessment of FLA's Standard is **partially aligned** (see Figure 1).

Figure 1. Standards Assessment: Partially aligned



Note: AC = Additional criteria.

Calculation formulae

The overall conclusion of the Standards Assessment is based on the following formula:

- **Fully aligned:** (Overarching criteria $\emptyset$ = 100% “fully aligned”) + (Steps 1-6 + additional criteria $\emptyset$ = 80% or more criteria “fully aligned”) + (no “not aligned” criteria)
- **Partially aligned:** All other combinations between “fully aligned” and “not aligned”
- **Not aligned:** (Overarching criteria = less than 80% of criteria “partially aligned” or “fully aligned”) and/or (Steps 1-6 + additional criteria $\emptyset$ = 25% or more criteria “not aligned”)

General strengths

- The Standard includes **expectations related to all six steps** of the OECD Garment Guidance, with alignment across many important elements of the due diligence process, such as purchasing

practices, senior-level accountability, engagement with workers, as well as root cause analysis to inform prevention and mitigation actions.

- The principles and accreditation matrix are well-structured and provide a consistent **degree of obligation**. Additional guidance documents provide helpful guidance on the requirements.
- As the **pathway to accreditation** is structured into five steps, companies are encouraged to progressively strengthen their systems before being assessed.
- As manufacturers are eligible to apply for accreditation, the Standard **promotes the uptake of due diligence among manufacturers**.

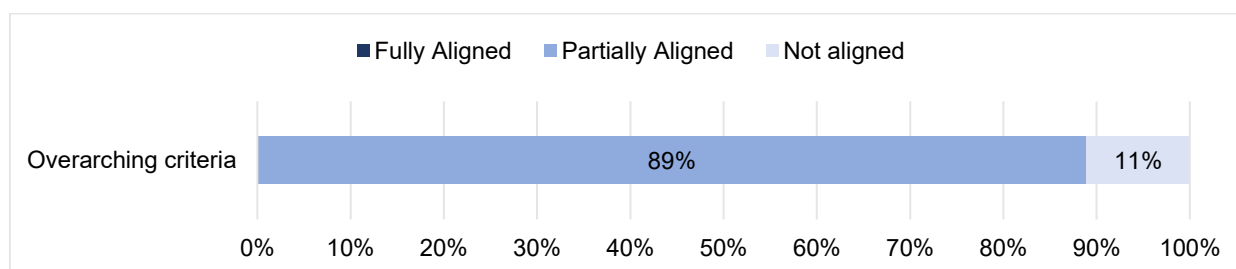
General opportunities for improvement

- The Standard's focus on requiring companies to **conduct due diligence on Tier 1 manufacturers and own facilities** risks incentivising companies to focus their due diligence on certain tiers. As a result, companies may not focus on those tiers that are associated with the most significant (i.e. severe and likely) risks and impacts along their supply chain.
- The **documentation of processes** that companies are required to conduct (e.g. risk scoping) often remains implicit rather than formally required.
- While **terminology** does not need to exactly match the terms used in the OECD Garment Guidance, the Standard uses the term "**remediation**" to refer to preventative and mitigation actions under Step 3, rather than only for remediation per Step 6. Although a guidance document provides further clarification (FLA, 2026^[10]), the interchangeable use of these terms risks misunderstandings among companies familiar with OECD due diligence standards.
- While the standard and guidance documents are well structured, there are some **inconsistencies between them** which risk inconsistent interpretation and assessment in some cases.

Overarching criteria

Figure 2 illustrates the assessment ratings for the nine overarching criteria that flow from the due diligence characteristics outlined in the OECD Garment Guidance and the OECD Due Diligence Guidance for Responsible Business Conduct (OECD, 2018^[9]).

Figure 2. Results: Overarching criteria



Note: Based on nine required criteria.

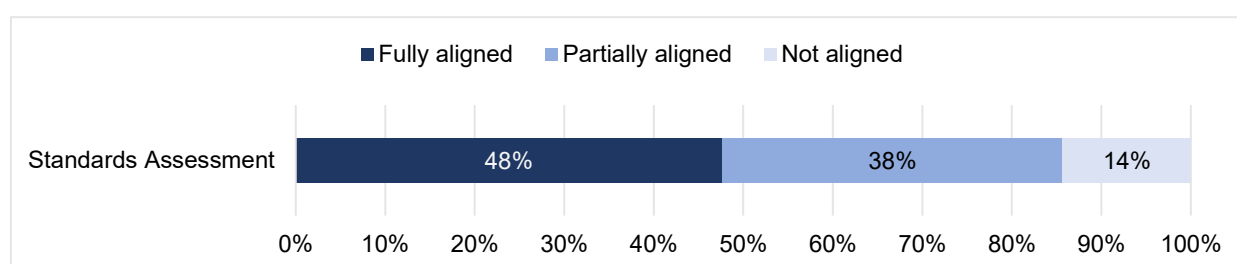
Given that the majority of criteria were rated partially aligned, observations on strengths and opportunities for improvement are combined for each of the points below.

- **Preventative approach:** The Standard emphasises preventive due diligence through addressing companies' own contribution to adverse impacts, including purchasing practices, product development, corrective action plans and root cause analysis. It also emphasises gathering information on Tier 1 manufacturers' preventative measures. The Standard places greater emphasis on the implementation of measures than on RBC policy commitments. It highlights verification, monitoring, integration of learnings (Step 4) and grievance mechanisms (Step 6).
- **Integrating RBC into decision making:** The Standard emphasises the integration of RBC due diligence considerations into decision making (e.g. senior-level approval and oversight, responsibilities, resource allocation). Some limitations in the risk scoping exercise and the focus on Tier 1 manufacturers more broadly may prevent companies from effectively incorporating RBC due diligence into decision making, due to limited awareness of risks and impacts (see Step 2).
- **Dynamic approach:** The Standard emphasises the importance of continuous improvement. It expects companies to seek to understand why certain impacts have not yet been prevented or mitigated and to respond appropriately. However, some elements remain static, with limited requirements to adjust efforts in response to changing contexts, the lack of effectiveness of measures, or predefined prevention and mitigation measures.
- **Prioritisation (risk-based approach):** The Standard's approach to due diligence is not fully risk-based (e.g. static labour code instead of a policy commitment to conduct due diligence and prioritise the most significant risks). The Standard requires companies to identify high-risk Tier 1 manufacturers during risk scoping and to reassess them when serious violations occur in order to focus resources on higher-risk facilities. However, it does not consistently require consideration of likelihood and severity in decision-making, including when contexts are likely to have changed, as factors such as production capacity and broader country risks are also allowed to be considered.
- **Meaningful engagement with stakeholders:** The Standard includes engagement with workers, unions and civil society, primarily through audits (e.g. worker interviews), training, the implementation of prevention and mitigation plans, grievance mechanisms as well as during disengagement. However, it does not anchor such engagement across other due diligence steps (e.g. policy, risk identification, measuring effectiveness, remedy) and does not further define the nature of engagement ("meaningful engagement"). It also places too great emphasis on companies' engagement with civil society organisations rather than affected stakeholders, while noting there is a procedure for engaging with unions.

Step 1 – Embed responsible business conduct in enterprise policy and management systems

Figure 3 illustrates the alignment assessment ratings for Step 1.

Figure 3. Results: Step 1



Note: Based on 20 required and 1 encouraged criterion. Encouraged criteria are only counted when fully aligned.

Key strengths

- The Standard has **comprehensive requirements on companies' due diligence management systems**, with clear assignment of responsibilities and internal co-ordination (e.g. between sourcing and compliance teams), senior-level accountability, staff training and communication (FLA, 2022, pp. 1.1.A-C; 3.2.A; 4.1_[11]; 2022, pp. 3-4_[11]). Senior leadership is required to formally commit to workplace standards and assign responsibility (FLA, 2022, p. 1.1.A.1; 1.1.C.1_[11]).
- The Standard requires companies to **allocate resources and integrate due diligence considerations into decision making**, including linking sourcing decisions to supplier performance and conducting pre-sourcing assessments (FLA, 2022, p. 1.1.A.3; 1.1.A.5; 4.2.B.1_[11])
- The Standard requires companies to **commit to upholding core labour standards** in owned facilities and Tier 1 manufacturers (FLA, 2022, p. 2_[11]; 2022, pp. 2.1.A.7-2.1.A.8_[11]).

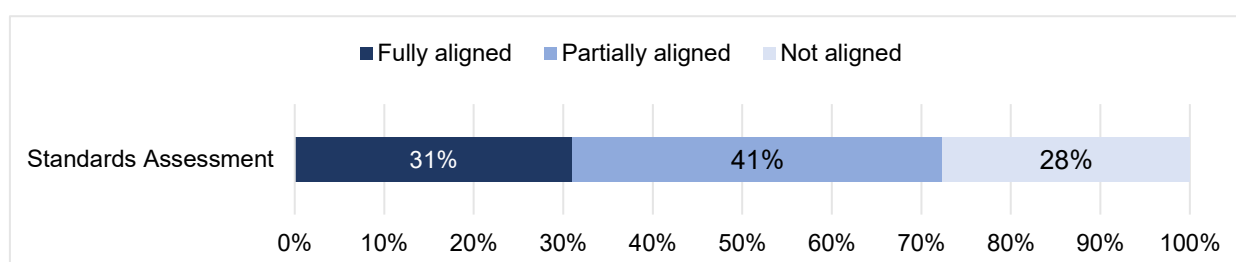
Key opportunities for improvement

- While the Standard requires companies to commit to the FLA Fair Labor Code,⁴ responsible purchasing practices and some elements on subcontracting, homeworkers and grievance mechanisms, **it does not fully set out several RBC due diligence policy commitments** (e.g. commitment to meaningful stakeholder engagement; hearing and addressing all complaints; definitions and expectations regarding subcontracting) (FLA, 2022, p. 2.3.B.9; 7.1.A.3; 1.1.B.21_[11]).
- The Standard requires companies to **engage with stakeholders** in practice (e.g. civil society strategy, procedure for engaging with unions). It neither requires companies to formally commit to engagement nor defines engagement in line with OECD due diligence standards. It also places too great emphasis on engagement with civil society organisations rather than affected stakeholders (FLA, 2022, p. 1.1.B.4_[11]).
- Even though companies are required to uphold the FLA Fair Labor Code, they are not required to **develop and regularly update their own risk-based policies** (FLA, 2022, p. 7.2.C.1_[11]).
- **Documentation of company processes** often remains implicit. The Standard does not require **due diligence information management systems** beyond the comprehensive requirements for supplier data (e.g. list of facilities, compliance and workplace information, including historic audit data, labour disputes, existence of collective bargaining agreements) which may limit the systematic tracking of due diligence over time (FLA, 2022, p. 6_[11]).

Step 2 – Identify actual and potential harms in the enterprise's own operations and supply chain

Figure 4 illustrates the alignment assessment ratings for Step 2.

Figure 4. Results: Step 2



Note: Based on 29 required criteria.

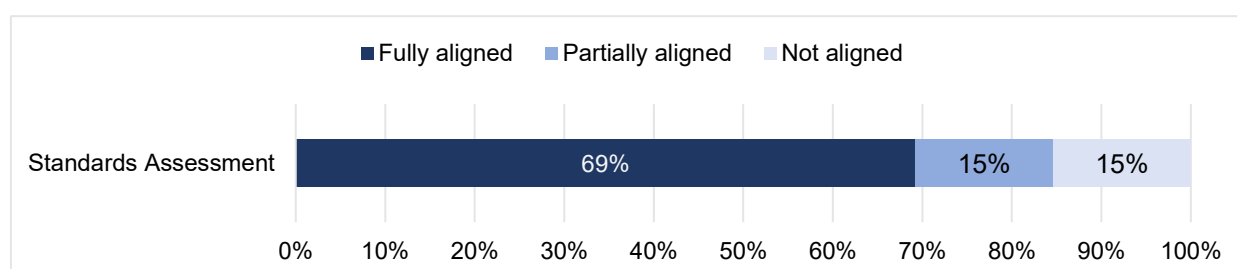
Given variation in ratings within topics, observations are combined below:

- The Standard requires companies to **identify labour risks** in their own operations and Tier 1 supply chain (“risk analysis”) considering **selected risk factors** (e.g. country risk, labour trends, known violations) (FLA, 2022, p. 5.2.B; 5.2.B.1_[11]) and **impacts of purchasing practices** (FLA, 2022, p. 2.1.B.2_[11]). However, as the Standard covers other risk factors only for potential corrective action (e.g. business model, product risks), its approach does **not fully correspond with a systematic risk scoping exercise**.
- While companies are expected to **prioritise** high-risk Tier 1 manufacturers, prioritisation is **not based on severity and likelihood** and includes non-risk-based factors (e.g. production capacity), which may limit the effectiveness of identifying the most significant risks for in-depth assessments (FLA, 2022, p. 5.2.B.1_[11]). For owned facilities, the Standard requires all sites to be assessed.
- For prioritised **suppliers and all owned production sites**, the Standard requires companies to conduct assessments such as pre-qualification assessments, regular evaluation of labour impacts and supplier measures (e.g. grievance mechanisms, workers’ awareness) (FLA, 2022, pp. 5.1.A; 5.3.A; 5.3.C.4–5.3.C.5_[11]) and of policies and procedures, where impacts continued (FLA, 2022, p. 2.1.B.1_[11]). It requires companies to adapt the frequency of assessments based on risk profile (FLA, 2022, p. 5.2.B.1_[11]) but does not require assessments when contexts have likely changed.
- Auditing is the primary assessment tool for company’s own monitoring (FLA, 2022, p. 5.2.A.5_[11]), which **does not sufficiently encourage the use of complementary methods to gather information on manufacturing facilities** (e.g. surveys, site visits, engagement). The Standard requires **engagement with workers during the in-depth assessments** (FLA, 2022, p. 5.3.A.1; 5.3.A.3; 6.1.B.3_[11]) but not in designing assessment methodologies or adapting **methodologies when audit findings do not correspond to expectations**.
- The Audit Field Observation tool specifies that companies have to ensure that the **team conducting the supplier assessments** have local knowledge and qualifications (FLA, 2026_[12]). Companies have to address any shortcomings, for example by providing feedback to the auditor. FLA assesses auditor qualifications and behaviour through selected audit field observations.
- The Standard requires companies to **assess their involvement in identified impacts** (i.e. cause, contribute, directly linked) with a focus on purchasing practices. It expects companies to ensure that other areas such as product development do not create impacts in practice but does not require them to assess how product development decisions may give rise to impacts in the first place.

Step 3 – Cease, prevent or mitigate harm in the enterprise’s own operations and supply chain

Figure 5 illustrates the alignment assessment ratings for Step 3.

Figure 5. Results: Step 3



Note: Based on 26 required criteria, and 1 encouraged criterion. Encouraged criteria are only counted when fully aligned.

Key strengths

- The Standard requires companies to implement a range of **internal measures to prevent and mitigate labour risks and impacts with defined timelines (“remediation plans”)**, including responsible purchasing practices, pricing models that consider wage-related risks, supplier incentives and pre-sourcing assessments (FLA, 2022, pp. 2.1.A.7–2.1.A.8; 2.4.B; 2.2.A.5; 5.1_[11]). It also promotes **supplier engagement and support**, particularly through training and collaboration on corrective actions (FLA, 2022, p. 4.4.A; 8.3.A.5_[11]).
- The Standard places a particularly **strong emphasis on addressing companies’ own contribution to labour impacts through purchasing practices and product development**, requiring companies to align forecasting, costing, sourcing and material decisions with consideration for labour impacts and fair compensation. The inclusion of **supplier feedback on purchasing practices** strengthens this approach and reflects good practice in addressing buyer-driven risks (FLA, 2022, pp. 2.1.A.7–2.1.A.8; 2.3.C.1_[11]).
- The Standard requires companies to establish and implement their **own prevention and mitigation policies and procedures for the Tier 1 supply chain** that address how the company will work to prevent and mitigate labour impacts with defined timelines and evidence of implementation (“remediation plans” in the Standard). The nature of a “plan” remains implicit (FLA, 2022, p. 2.1.A.6_[11]). A strong emphasis on **root cause analysis and continuous improvement** supports longer-term prevention and mitigation of risks and impacts (FLA, 2022, p. 8.1.A.2; 8.2.A.2; 8.2.B.1_[11]). It also promotes **worker involvement in the development and implementation of prevention and mitigation action plans** (FLA, 2022, p. 5.3.A; 8.1.B.5_[11]).
- The Standard includes provisions on **responsible exit and disengagement** (“retrenchment” in the Standard), requiring companies to consider alternatives first (“last resort”). If disengagement is the last resort, companies are required to consider impacts on workers and ensure legally owed benefits are respected (FLA, 2022, pp. 2.1.A.11; 5.4.B.1-9_[11]; 2023, p. 14_[13]). However, communicating the decision of disengagement to factory management and to union representatives remains a recommendation in the Standard and is set out in the corresponding guidance document. This risks increasing the likelihood of impacts on workers (e.g. payment of wages) due to short-notice changes.

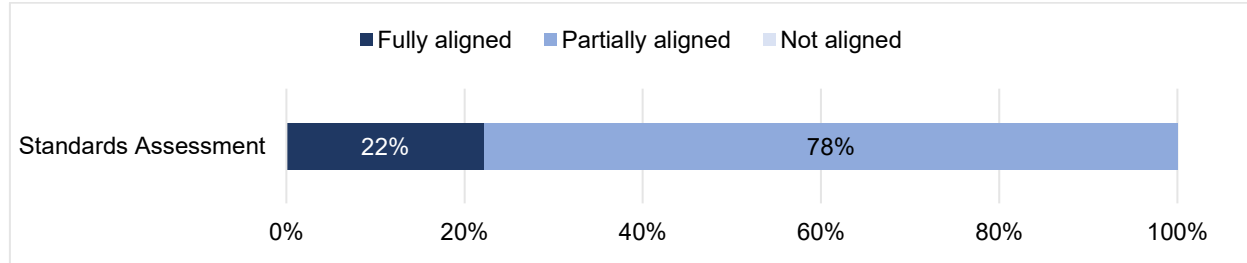
Key opportunities for improvement

- The Standard includes some expectations related to taking immediate action to stop existing impacts through the 24-hour alert finding policy, requiring Tier 1 manufacturers to submit remediation plans shortly after identifying critical issues (FLA, 2020_[14]). However, it focuses on the **submission of plans by manufacturers rather than the actions of companies taken** to stop causing or contributing to critical danger.
- The Standard does not require company measures to prevent and mitigate impacts in their own operations and Tier 1 supply chain to be **proportionate** to the severity of the impact, nor does it require expert inputs where risks are severe or technically complex.
- The **use of leverage** to prevent or mitigate impacts remains implicit, requiring examples of actions the company has taken in the case that the facility has not made progress. The Standard does not require companies to pool leverage with other companies.
- While **terminology** does not need to exactly match the terms used in the OECD Garment Guidance, provided underlying concepts and intent are equivalent, the Standard uses the term **“remediation plan”** for future preventative and mitigation actions per Step 3 and remediation per Step 6. Although a guidance document provides further clarification (FLA, 2026_[10]), the interchangeable use of these terms risks misunderstandings among companies.

Step 4 – Track

Figure 6 illustrates the alignment assessment ratings for Step 4.

Figure 6. Results: Step 4



Note: Based on nine required criteria.

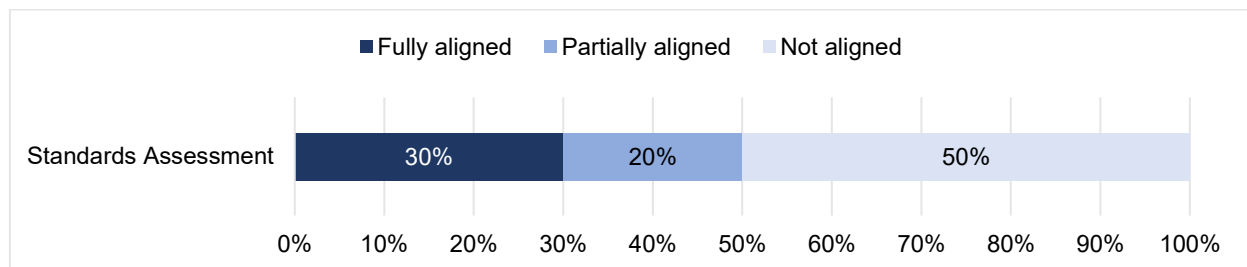
Given the number of **partially aligned criteria**, observations on strengths and opportunities for improvement are combined below.

- The Standard requires companies to **verify corrective actions of manufacturers** through audits and corrective action follow-up processes, including root cause analysis and review of recurring non-compliances to support continuous improvement (FLA, 2022, p. 5.3.C.5; 8.1.A; 8.2.A; 8.3.B.2_[11]). However, it over-relies on follow-up audits as a verification method. Requirements to **verify internal measures remain implicit**, except for purchasing practices, where companies are required to verify pre-defined, thus not risk-based, metrics (FLA, 2022, p. 2.2.A.4_[11]).
- The Standard includes **ongoing monitoring of manufacturers' progress** (e.g. audit analysis, tracking non-compliances) (FLA, 2022, pp. 5.2.A.6; 7.2.B–C_[11]). However, there are areas where progress is expected (e.g. wages) even when not risk-based. The Standard is **less clear on monitoring the progress of companies' own measures**.
- The Standard includes some elements to **validate the effectiveness of measures** (FLA, 2022, p. 4.3.A.3; 4.3.A.7_[11]). However, this validation is not risk-based as it focusses on measuring the effectiveness of training and purchasing practices rather than the range of due diligence measures that may have been agreed upon under step 3 prevention and mitigation measures.

Step 5 – Communicate

Figure 7 illustrates the alignment assessment ratings for Step 5.

Figure 7. Results: Step 5



Note: Based on 20 required criteria.

Key strengths

- The Standard requires companies to **publicly report on processes that provide access to remediation**, including all reported grievances and company-provided responses to grievances (FLA, 2022, pp. 1.1.B.20–1.1.B.22^[11]).
- The Standard requires companies to show how they **engage with union and/or worker representative structures in their owned manufacturing facilities**.
- The Standard includes safeguards related to **confidentiality and protection from retaliation** in specific contexts (e.g. worker interviews and grievance mechanisms) (FLA, 2022, p. 5.3.A.3; 6.1.C.2^[11]), while a comprehensive requirement to ensure that all external communications do not pose risks to affected stakeholders remains implicit.
- The Standard requires companies to **publish an annual sustainability report** that reports on progress in preventing and mitigating labour impacts; however, some key aspects of what the **reporting has to include** (e.g. due diligence management systems, engagement with affected stakeholders, most significant risks, prioritisation rationale, effectiveness of measures) **are only detailed in a guidance document** (FLA, 2026^[15]).

Key opportunities for improvement

- The Standard does not require companies to ensure that **public communication, nor communication with affected stakeholders**, is accessible and tailored to impacted stakeholders, nor does it require that communication is sufficient to allow stakeholders to evaluate the adequacy of company responses to impacts.
- The Standard does not require companies **to formally report or communicate to stakeholders on how they have addressed severe human rights risks**, except for written responses to labour issues raised by civil society organisations.

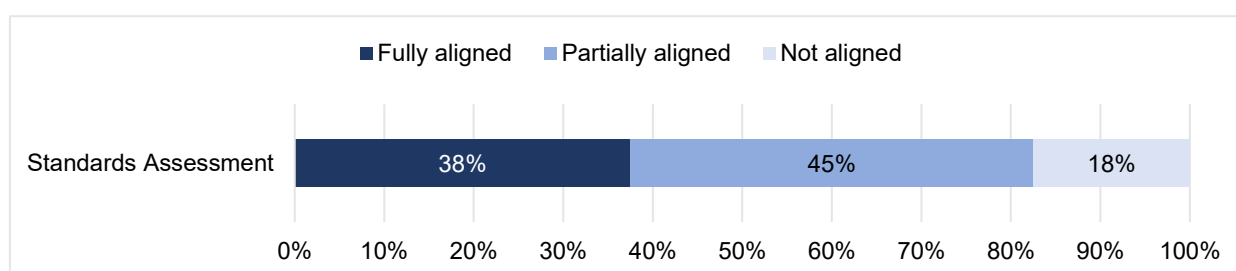
Step 6 – Provide for or co-operate in remediation when appropriate

Figure 8 illustrates the alignment assessment ratings for Step 6.⁵

The assessment of Step 6 covered FLA's criteria for companies to:

- provide remedy, where appropriate (OECD, 2023^[16])⁶
- establish (in own operations) or support the establishment (in supply chains) of effective operational-level grievance mechanisms (OLGM)
- determine the appropriate form of remedy, consistent with the OECD Garment Guidance.

Figure 8. Results: Step 6



Note: Based on 27 required and 2 encouraged criteria. Encouraged criteria were only counted when fully aligned.

Key strengths

- The Standard requires companies to **provide for or co-operate in an appropriate remedy** for impacts it has caused or contributed to, and expects companies to establish a **grievance mechanism for their own operations as well as a back-up channel should the operational-level mechanism for Tier 1 manufacturers fail** (FLA, 2022, p. 6.2.A.5_[11]).
- For its **own operations grievance mechanism**, the Standard references all United Nations Guiding Principles (UNGP) effectiveness criteria, but some are not fully operationalised (i.e. accessibility, predictability, equitability) (FLA, 2022, p. 6.1.A.11; 6.2.A2; 5.3.A.1; 6.1.C.2; 6.1.F.2_[11]).
- The Standard requires companies to publish **grievances and responses** (FLA, 2022, p. 1.1.B.22_[11]).
- **FLA's own complaint mechanism** includes key features aligned with UNGP criteria (e.g. legitimacy, predictability, transparency, accessibility), including being accessible on the initiative's website in multiple languages.

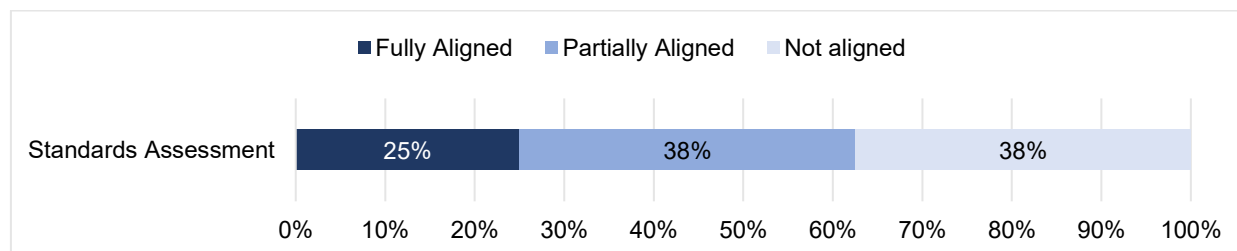
Key opportunities for improvement

- The Standard only specifies details on companies' obligation to **provide for or co-operate in the remediation** of impacts that they have caused or contributed to only in a guidance document (see also terminology discussion on "remediation" in Step 3).
- The effectiveness criteria for grievance mechanisms in own operations are not equally applied in the section on the **back-up grievance mechanism**. The mechanism is not required to cover the criteria on equitability, transparency or being dialogue-based. The other effectiveness criteria are not fully operationalised (i.e. legitimacy, accessibility, predictability).
- The Standard does not require companies to **incorporate lessons learned into policies and due diligence systems**, nor to use grievance data as a core input for continuous improvement.
- **FLA's grievance mechanism** does not fully operationalise the criteria on equitability and being dialogue-based. For example, if FLA agrees with the company's assessment of a complaint, then the complainant is informed in writing and given only a short period to reply, while two-way dialogue remains optional. FLA publishes complaints received through the own channel.

Additional criteria

Figure 9 illustrates the alignment assessment ratings for the eight⁷ additional criteria (AC) which cover specific criteria relating to collaboration, communication and accountability topics covered in the OECD Garment Guidance.

Figure 9. Results: Additional criteria



Note: Based on eight required criteria.

Key strengths

- The Standard requires companies to **collaborate with other enterprises**, including for **shared assessments** (FLA, 2022, p. 1.1.B_[11]; 2022, p. 9_[17]); and **scaling up corrective actions**.

Key opportunities for improvement

- The Standard does not require companies to, where appropriate, collaborate with enterprises, trade unions, civil society or other stakeholders to **pool leverage or provide remedy**.
- While the Standard enables some degree of **information sharing and transparency (e.g. through published assessments and supplier data)**, it does not explicitly require collaboration to **increase sector-wide transparency** (FLA, 2022, p. 8.1.C.1_[11]; 2022, p. 9_[17]).
- The Standard does not require companies that participate in collaborative initiatives to **understand their role in facilitating due diligence components or to accurately represent the scope and results** of these initiatives in their public communications.

Annex A. Alignment Assessment criteria and results

Table A A.1. Due Diligence criteria

No.	Criteria	Rating
0.01	The initiative requires the enterprise's due diligence to be preventative.	Partially aligned
0.02	The initiative requires the enterprise's due diligence to be an integral part of decision making.	Partially aligned
0.03	The initiative requires the enterprise's due diligence to be commensurate with risk (i.e. it is risk based)	Partially aligned
0.04	The initiative requires the enterprise's due diligence to involve prioritisation (i.e. it is risk based)	Partially aligned
0.05	The initiative requires the enterprise's due diligence to be dynamic.	Partially aligned
0.06	The initiative requires the enterprise's due diligence to be informed by meaningful engagement with stakeholders.	Partially aligned
0.07	The initiative requires the enterprise's due diligence to involve ongoing communication.	Partially aligned
0.08	The initiative requires the enterprise's due diligence to be appropriate to its circumstances.	Partially aligned
0.09	The initiative requires the enterprise to considers the unique position of women systematically at all stages of the due diligence process.	Not aligned
1.01	The initiative requires the enterprise to establish a policy or policies that include RBC due diligence commitments regarding their own activities and operations and its supply chain.	Partially aligned
1.02	The initiative requires the enterprise to establish a policy or policies that articulate their due diligence expectations of business partners – including suppliers, licensees, and intermediaries – on RBC matters across the length of their supply chain(s).	Partially aligned
1.03	The initiative requires that the enterprise's policy includes commitment to observe the OECD Guidelines for Multinational Enterprises and issues covered by the Guidelines. The policy should also commit to upholding international standards on sector risks and sub-sector risks, relevant to the enterprise and make explicit reference to relevant international standards.	Not aligned
1.04	The initiative requires that the enterprise's policy includes commitments to conduct due diligence regarding "significant risks" in the enterprise's own operations and supply chain.	Not aligned
1.05	The initiative requires that the enterprise's policy or policies include its expectations of suppliers to conduct due diligence regarding "significant risks" in the enterprise's supply chain.	Not aligned
1.06	The initiative requires that the enterprise's policy includes a commitment to responsible sourcing practices; i.e. a commitment that the enterprise will seek to prevent its purchasing practices contributing to harmful impacts	Fully aligned
1.07	The initiative requires that the enterprise's policy stipulates the enterprise's expectations regarding the use of subcontractors including a definition and distinctions in subcontracted work if they exist.	Partially aligned
1.08	The initiative requires that the enterprise's policy includes a commitment to meaningful stakeholder engagement in the course of due diligence.	Partially aligned
1.09	The initiative requires that the enterprise's policy includes the enterprise's expectations regarding the outsourcing to homeworkers and the use of handwork, where relevant to the enterprise's business model.	Partially aligned
1.1	The initiative encourages enterprises to include in their policy a commitment to hear and address all complaints against the enterprise regarding its own operations.	Partially aligned
1.11	The initiative encourages enterprises to include in their policy a commitment to hear and address measured and substantiated complaints that the enterprise has caused or contributed to harms in its supply chain that are raised through legitimate processes.	Not aligned
1.12	The initiative requires that the enterprise's policy is developed with and informed by relevant internal and	Partially aligned

No.	Criteria	Rating
	external expertise.	
1.13	The initiative requires that the enterprise's policy is approved at the most senior level of the enterprise.	Fully aligned
1.14	The initiative requires that the enterprise's policy is updated through an iterative process that builds on increasing knowledge about harms in the enterprise's supply chain.	Partially aligned
1.15	The initiative encourages the enterprise to establish or strengthen corporate governance to oversee and support RBC by assigning responsibility for RBC implementation to the board and senior management.	Fully aligned
1.16	The initiative requires the enterprise to have senior staff with competence, knowledge and experience overseeing the implementation of the RBC policy(s).	Fully aligned
1.17	The initiative requires the enterprise to make the policy publicly available.	Fully aligned
1.18	The initiative requires the enterprise to communicate the RBC due diligence policy to all relevant employees.	Fully aligned
1.19	The initiative requires the enterprise to communicate the policy to all direct suppliers.	Fully aligned
1.2	The initiative requires the enterprise to allocate adequate support and resources to due diligence on human rights, labour, environment and integrity risks.	Fully aligned
1.21	The initiative requires the enterprise to incorporate due diligence into decision making processes at an organisational level.	Fully aligned
1.22	The initiative requires the enterprise to establish alignment across teams and business units to support the implementation of the RBC policy.	Fully aligned
1.23	The initiative requires the enterprise to have information management systems that are accurate and current and capable of storing the full extent of information necessary to conduct due diligence.	Partially aligned
1.24	The initiative encourages the enterprise to store due diligence information for a minimum of five years.	Not aligned
1.25	The initiative encourages the enterprise to build into supplier contracts an obligation to support supply chain due diligence of risks linked to upstream production where appropriate.	Out of scope
2.01	The initiative requires the enterprise to conduct an informed scoping exercise to identify which risks of harm are most significant – in relation to likelihood and severity of harm – in its own operations and in its supply chain.	Partially aligned
2.02	The initiative requires the enterprise's scoping to build on known sector and subsector risks.	Partially aligned
2.03	The initiative requires the enterprise's scoping to take into account risks that may be specific to the products that the enterprise makes or sells.	Not aligned
2.04	The initiative requires the enterprise's scoping to take into account factors within the countries where the company operates or sources that may make sector risks more likely.	Partially aligned
2.05	The initiative requires the enterprise's scoping to take into account risks factors that may be specific to the enterprise's sourcing model.	Fully aligned
2.06	The initiative requires the enterprise's scoping to take into account components of the company's business model that may increase the likelihood or scope of risks in its supply chain.	Partially aligned
2.07	The initiative requires enterprises to determine which risks of harm are most significant – in relation to likelihood and severity of harm – in its own operations and in its supply chain and prioritise those for action first.	Not aligned
2.08	The initiative requires the enterprise's scoping to be documented.	Partially aligned
2.09	The initiative encourages the enterprise to consult with stakeholders and experts, where gaps in information exist.	Not aligned
2.1	The initiative requires the enterprise to review the findings of the scoping assessment on a semi-regular basis.	Partially aligned
2.11	The initiative requires the enterprise to continually update the information in its risk scoping based on changing circumstances and be ready to respond to emerging risks.	Not aligned
2.12	The initiative requires the enterprise to carry out a self-assessment of its own operations to determine the extent of risks and actual impacts.	Partially aligned
2.13	The initiative encourages the enterprise to follow existing credible guidance for employers when assessing for risks of harm in its own operations.	Not aligned
2.14	The initiative requires the enterprise to engage with potentially affected stakeholders (workers, trade unions and representative organisations) to identify potential and actual harm in its own operations.	Fully aligned
2.15	The initiative requires the enterprise to review its policies and systems to assess the extent to which risks are being prevented or mitigated.	Fully aligned

No.	Criteria	Rating
2.16	The initiative encourages the enterprise to seek external support to conduct a self-assessment if the impact may cause severe harm if not adequately prevented and/or the prevention measures require technical expertise not available in-house.	Not aligned
2.17	The initiative requires the enterprise to assess suppliers who are associated with higher risks of those harms prioritised during the scoping exercise.	Partially aligned
2.18	The initiative requires the enterprise to seek assurances from suppliers that the prioritised suppliers upstream are being assessed where severe risks are linked to upstream processes (e.g. cotton growing).	Out of scope
2.19	The initiative requires the enterprise to conduct supplier assessments when there are gaps in information or where the context has likely changed.	Partially aligned
2.2	The initiative requires the enterprise to assess the measures that the assessed supplier has implemented to prevent harm.	Partially aligned
2.21	The initiative requires the enterprise to assess the actual harm on the ground and risks of harm.	Fully aligned
2.22	The initiative requires the enterprise to assess the extent to which the workers are aware of their rights in relation to human rights and labour rights.	Fully aligned
2.23	The initiative requires the enterprise to assess whether the supplier has established an operational-level grievance mechanism and whether it is effective and meets the recommendations in Table 8 of the Guidance	Fully aligned
2.24	The initiative requires the nature of the enterprise's assessment to correspond to the potential risk.	Partially aligned
2.25	The initiative requires the enterprise's assessment to be adapted to the local context.	Partially aligned
2.26	The initiative requires the enterprise to involve workers in the design of assessments for labour and human rights issues.	Not aligned
2.27	For risks of harm which are subjective (such as human rights and labour risks), the initiative requires enterprises to use multiple data points to assess the situation.	Fully aligned
2.28	The initiative requires the enterprise's assessment methodology to be adjusted if actual findings do not correspond to expected findings.	Not aligned
2.29	The initiative requires that the assessment team have extensive knowledge of the relevant risks, including an understanding of the best methodology to identify actual and potential harms related to the risk within the local context.	Fully aligned
2.3	The initiative requires the enterprise's assessment team to have knowledge of national and international standards related to the adverse impact.	Fully aligned
2.31	The initiative requires the enterprise's assessment team to have the capability to conduct the assessment within the local context.	Fully aligned
2.32	For labour and human rights issues, assessments should rely heavily on worker interviews.	Fully aligned
2.33	The initiative requires the enterprise to make good faith efforts to understand whether it has caused, contributed to or is linked to the impacts that it has identified.	Partially aligned
3.01	The initiative requires the enterprise to take immediate actions to stop existing impacts.	Not aligned
3.02	The initiative requires the enterprise to establish and implement a plan to prevent and/or mitigate future harm in its own operations.	Fully aligned
3.03	The initiative requires the enterprise to take immediate actions to prevent any potential immediate and critical danger in the short term.	Not aligned
3.04	The initiative requires the enterprise to seek to develop outcome oriented solutions that lead to prevention of harm in the longer term.	Fully aligned
3.05	The initiative requires the enterprise's plan on preventing and mitigating harm in its own operations to include clear timelines for follow up.	Fully aligned
3.06	The initiative requires the enterprise's measures pursued on preventing and mitigating harm in its own operations to be proportionate to the severity of harm.	Not aligned
3.07	The initiative requires the enterprise to have considered whether to seek expert advice based on the level of risk.	Partially aligned
3.08	The initiative requires the enterprise to engage workers, trade unions and representatives of the workers own choosing during the developments of the enterprise's measures on preventing and mitigating labour-related issues in the enterprise's own operations.	Fully aligned

No.	Criteria	Rating
3.09	The initiative requires the enterprise to develop and implement its own plan to seek to prevent or mitigate future harm in its supply chain.	Fully aligned
3.1	The initiative requires the enterprise's plan on preventing and mitigating harm in the supply chain to include clear timelines for follow up.	Fully aligned
3.11	The initiative requires the enterprise's measures pursued on preventing and mitigating harm in its supply chain to be proportionate to the severity of harm.	Not aligned
3.12	The initiative requires the enterprise to develop and implement a plan to prevent its contribution to harm if a risk of contributing to harm in the supply chain is identified.	Fully aligned
3.13	For brands and retailers – The initiative requires the enterprise to implement control measures to prevent contributing to harm through its purchasing practices even if it has not identified specific instances of this.	Fully aligned
3.14	For brands and retailers – The initiative requires the enterprise to have a system of procedures to follow in instances where purchasing practices could contribute to harm.	Fully aligned
3.15	The initiative requires the enterprise to have developed pricing models that account for the cost of wages, benefits and investments in decent work.	Fully aligned
3.16	The initiative requires the enterprise to implement internal measures to manage risks in its supply chain, where appropriate. These include measures that the enterprise itself can control.	Fully aligned
3.17	The initiative requires the enterprise to seek to prevent/mitigate risks through its product development	Fully aligned
3.18	The initiative requires the enterprise to have a good, local knowledge of its suppliers.	Fully aligned
3.19	The initiative encourages the enterprise to establish incentives for suppliers to comply with the enterprise's RBC policy.	Fully aligned
3.2	The initiative requires the enterprise to use its leverage, when appropriate, to influence its suppliers to prevent or mitigate impacts.	Partially aligned
3.21	The initiative encourages the enterprise to pool leverage with other buyers if an enterprise does not hold leverage.	Not aligned
3.22	The initiative requires the enterprise to support suppliers, when appropriate, in preventing or mitigating impacts.	Fully aligned
3.23	The initiative requires the enterprise to engage with government, when appropriate, to seek to prevent or mitigate adverse impacts.	Not aligned
3.24	The initiative requires the enterprise to disengage from a supplier, when appropriate, to prevent adverse impacts in its supply chains.	Fully aligned
3.25	The initiative requires the enterprise to comply with national laws, international labour standards, and terms of collective bargaining agreements if the enterprise determines the need to disengage from a supplier.	Fully aligned
3.26	The initiative requires the enterprise to provide information supporting the business decision to the supplier's management and the supplier's trade union (if one exists) if disengaging from a supplier.	Partially aligned
3.27	The initiative requires the enterprise to give the supplier sufficient notice of the end of the relationship if disengaging from the supplier.	Fully aligned
3.28	The initiative requires the enterprise to demonstrate its own efforts to mitigate the identified adverse impact(s) for as long as an enterprise has an ongoing relationship with a supplier.	Partially aligned
4.01	The initiative requires the enterprise to verify internally that the enterprise has carried out the actions which it has committed to in its own operations.	Fully aligned
4.02	The initiative requires the enterprise to monitor due diligence on an ongoing basis using appropriate direct or indirect performance indicators in its own operations.	Partially aligned
4.03	The initiative requires the enterprise to draw on all known information including data from on-going monitoring, internal periodic assessments, issues raised through grievance mechanisms, etc. to validate that the steps taken by the enterprise are preventing and mitigating impacts in its own operations.	Partially aligned
4.04	The initiative requires the enterprise in instances in which harmful impacts in its own operations have not been effectively prevented or mitigated to seek to understand why this is the case and respond appropriately, including by updating and implementing corrective action plans where appropriate. If the enterprise is unable to determine why an impact has not been prevented or mitigated, it seeks external guidance.	Partially aligned
4.05	The initiative requires the enterprise to engage with external experts to validate the effectiveness of due diligence and risk management measures undertaken in its own operations where impacts may cause severe harm if not adequately prevented, or where prevention measures require technical expertise.	Partially aligned

No.	Criteria	Rating
4.06	The initiative requires the enterprise to verify whether its due diligence requirements are being met in its supply chain.	Fully aligned
4.07	The initiative requires the enterprise, whenever possible, to monitor indicators – either direct or indirect – over time to validate that impacts in its supply chain have been or are being prevented.	Partially aligned
4.08	The initiative requires the enterprise to draw on all known information including data from on-going monitoring, internal periodic assessments, issues raised through grievance mechanisms, etc. to validate that the steps taken by the enterprise are preventing and mitigating impacts in its supply chain.	Partially aligned
4.09	The initiative requires the enterprise in instances in which harmful impacts in its supply chain have not been effectively prevented or mitigated to seek to understand why this is the case and respond appropriately, including by updating and implementing corrective action plans where appropriate. If the enterprise is unable to determine why an impact has not been prevented or mitigated, it seeks external guidance.	Partially aligned
4.1	The initiative encourages the enterprise to engage external experts to assess the effectiveness of due diligence and risk management measures undertaken in the supply chain where impacts in the supply chain may cause severe harm if not adequately prevented, or where prevention measures require technical expertise.	Partially aligned
5.01	The initiative requires the enterprise to communicate publicly on its supply chain due diligence.	Fully aligned
5.02	The initiative requires the enterprise to communicate publicly on its due diligence management systems.	Partially aligned
5.03	The initiative requires the enterprise to communicate publicly on its most significant risks in its own operations and within its supply chain.	Partially aligned
5.04	The initiative requires the enterprise to communicate publicly on its processes for assessing risks.	Partially aligned
5.05	The initiative requires the enterprise to communicate publicly on its plan to prevent and mitigate harm in its own operations, and progress on those measures.	Partially aligned
5.06	The initiative requires the enterprise to communicate publicly on its plan to prevent and mitigate harm in its supply chain, and progress on those measures.	Partially aligned
5.07	The initiative requires the enterprise, if relevant, to communicate publicly on its objectives for government policy engagement and on the outcomes of engagement efforts.	Partially aligned
5.08	The initiative requires the enterprise to communicate publicly on how it has meaningfully engaged with its stakeholders.	Partially aligned
5.09	The initiative requires the enterprise to communicate publicly on the processes that provide access to remediation in its own operations.	Fully aligned
5.1	The initiative requires the enterprise to communicate publicly on processes that provide access to remediation in its supply chain.	Fully aligned
5.11	The initiative requires the enterprise to communicate publicly on the collaborative processes with which it engages that facilitate due diligence.	Not aligned
5.12	The initiative requires the enterprise to communicate publicly, at a minimum, on an annual basis.	Fully aligned
5.13	The initiative requires the enterprise to communicate information in a way that is relevant, accurate, clear, user friendly with plain language, and to present information in a way that the intended users are able to access information.	Not aligned
5.14	The initiative requires the enterprise to be prepared to communicate externally, including with affected stakeholders, how it addresses its human rights impacts.	Not aligned
5.15	If the enterprise's operations or operating contexts pose risk of severe human rights impacts, the initiative requires the enterprise to report formally on how those risks are addressed.	Partially aligned
5.16	The initiative requires the enterprise's communications to be of a form and frequency that reflect and enterprise's human rights impacts.	Not aligned
5.17	The initiative requires the enterprise's communications to provide information that is sufficient to evaluate the adequacy of an enterprise's response to the human rights impact.	Not aligned
5.18	The initiative requires the enterprise to ensure that communications do not pose risks to affected stakeholders, personnel or to legitimate requirements of commercial confidentiality.	Fully aligned
5.19	The initiative requires the enterprise's communications to be accessible to impacted stakeholders.	Not aligned
5.2	The initiative requires the enterprise, in relation to labour rights in its own operations, to communicate with its workers and trade unions and representative organisations of the workers' own choosing, including to understand what they deem to be material information.	Fully aligned

No.	Criteria	Rating
6.01	The initiative requires the enterprise to provide for or co-operate through legitimate processes in the remediation of adverse impacts it has caused or contributed to.	Partially aligned
6.02	The initiative requires the enterprise to engage in legitimate processes that enable it to hear and address material and substantiated complaints that it has caused or contributed to harm in its supply chain.	Fully aligned
6.03	The initiative encourages the enterprise to consult relevant guidance on establishing supply chain grievance mechanisms or other legitimate processes for handling complaints.	Fully aligned
6.04	The initiative requires the enterprise to have a process in place to enable remediation in relation to human rights impacts it has caused or contributed to.	Out of scope
6.05	The initiative requires the enterprise to establish processes to enable remediation for adverse impacts other than human rights impacts (e.g. labour or environmental impacts).	Partially aligned
6.06	The initiative encourages the enterprise to consult relevant guidance on establishing operational-level grievance mechanisms or other legitimate processes for handling complaints.	Fully aligned
6.07	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of legitimacy.	Fully aligned
6.08	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of accessibility.	Partially aligned
6.09	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of predictability.	Partially aligned
6.1	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of equitability.	Partially aligned
6.11	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of transparency.	Fully aligned
6.12	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of being dialogue-based.	Fully aligned
6.13	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it does not preclude access to judicial recourse (e.g. through legal waivers) for victims of gross human rights violations and the enterprise does not interfere with civil or criminal investigations or human rights examinations.	Not aligned
6.14	The initiative encourages the enterprise to publish complaints and incorporate lessons learned into policies and monitoring systems.	Partially aligned
6.15	The initiative's grievance mechanism is based on the core criteria of legitimacy.	Fully aligned
6.16	The initiative's grievance mechanism is based on the core criteria of accessibility.	Fully aligned
6.17	The initiative's grievance mechanism is based on the core criteria of predictability.	Fully aligned
6.18	The initiative's grievance mechanism is based on the core criteria of equitability.	Partially aligned
6.19	The initiative's grievance mechanism is based on the core criteria of transparency.	Fully aligned
6.2	The initiative's grievance mechanism is based on the core criteria of being dialogue-based.	Partially aligned
6.21	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it does not preclude access to judicial recourse (e.g. through legal waivers) for victims of gross human rights violations and the enterprise does not interfere with civil or criminal investigations or human rights examinations.	Fully aligned
6.22	The initiative encourages the enterprise to publish complaints and incorporate lessons learned into policies and monitoring systems.	Not aligned
6.23	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of legitimacy.	Partially aligned
6.24	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of accessibility.	Partially aligned
6.25	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of predictability.	Partially aligned
6.26	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of equitability.	Not aligned
6.27	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of transparency.	Not aligned

No.	Criteria	Rating
6.28	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it is based on the core criteria of being dialogue-based.	Not aligned
6.29	The initiative requires the enterprise to ensure that where a grievance mechanism is established, it does not preclude access to judicial recourse (e.g. through legal waivers) for victims of gross human rights violations and the enterprise does not interfere with civil or criminal investigations or human rights examinations.	Not aligned
6.3	The initiative encourages the enterprise to publish complaints and incorporate lessons learned into policies and monitoring systems.	Partially aligned
6.31	The initiative requires the enterprise to seek remedy that restores the affected person(s) to the situation they would be in had the harm not occurred and be proportionate to the significance and scale of the adverse impact.	Partially aligned
6.32	The initiative requires the enterprise to seek remedy that meets national laws and international guidelines on remediation, where available, and where such standards are not available, the remedy provided is consistent with that provided through similar cases.	Partially aligned
6.33	The initiative requires the enterprise to engage with affected stakeholders in the determination of the remedy.	Partially aligned
6.34	The initiative requires the enterprise to assess the level of satisfaction with the process and the outcome of those who raised the complaints.	Partially aligned
AC1.01	The initiative requires the enterprise to collaborate with other enterprises to pool information.	Partially aligned
AC1.02	The initiative requires the enterprise to collaborate with other enterprises to increase its leverage.	Partially aligned
AC1.03	The initiative requires the enterprise to collaborate with other enterprises, trade unions, civil society, etc. as appropriate to scale-up effective measures for preventing and mitigating risks.	Fully aligned
AC1.04	The initiative requires the enterprise to collaborate with other enterprises to increase sector transparency.	Partially aligned
AC1.05	The initiative requires the enterprise to collaborate with stakeholders and multi-stakeholder initiatives including civil society, governments and trade unions amongst others in the remediation process and provision of remedy, where appropriate.	Not aligned
AC1.06	The initiative requires the enterprise to reduce audit fatigue by carrying out shared assessments, sharing assessment findings, and recognising existing assessments where feasible.	Fully aligned
AC1.07	The initiative requires the enterprise, where the enterprise participates in a collaborative initiative, to understand which components of due diligence the initiative is helping to facilitate.	Not aligned
AC1.08	The initiative requires the enterprise, where the enterprise participates in a collaborative initiative, to represent the scope and results of the initiative accurately in its public communications.	Not aligned

Note: Criteria shaded in grey are encouraged criteria.

Annex B. List of key documents

	Document reviewed	Year (if specified)
1	Principles of Fair Labor and Responsible Sourcing	2022
2	Principles of Fair Labor and Responsible Production	2022
3	Workplace Code of Conduct and Compliance Benchmarks	2020
4	Accreditation Metrics (not public)	2021
5	24 Hour Alert Findings at factory assessments (not public)	2020
6	Audit Field Observation Tool (not public)	2024
7	Fair Labor Investigations (not public)	2024
8	Guidance: Supply Chain Mapping, Transparency and Traceability	2023
9	SCI Questionnaire for facility assessments (not public)	2021
10	Guidance: Key Markers for Promoting Responsible Recruitment of Migrant Workers	2024
11	Guidance: Ensuring Responsible Factory Retrenchment, Exit and Closure	2023
12	Independent External Assessment Procedures for Manufacturing Supply Chains	2022
14	Grievance Mechanism Toolkit for Suppliers (substituted in 2025)	2020
15	Grievance Mechanisms Toolkit for Participating Companies (substituted in 2025)	2020
17	Fair Labor Investigations SOP	2024
18	SCI Assessment Process Guidance for Companies Affiliates	2 021
19	Message Guide for Accredited Companies: FLA Field Observation SOP	2024
20	Guidance: Responsible Purchasing and Production Practice (not public)	-
21	Guidance: CSO Engagement Guidelines (not public)	2018
22	Guidance: Sustainability Public Reporting Aligned with Human Rights Due Diligence Risk-Based Approach (not public)	2026
23	Guidance: Remediation (not public)	2026

References

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- FLA (2026), *Fair Labor Accredited Companies*, <https://www.fairlabor.org/members/fla-accredited/> (accessed on 1 June 2026). [8]
- FLA (2026), *Guidance on Sustainability Public Reporting Aligned with Human Rights Due Diligence Risk-Based Approach*. [15]
- FLA (2026), *Remediation Guidance*. [10]
- FLA (2023), *Guidance on Ensuring Responsible Factory Retrenchment, Exit and Closure*. [13]
- FLA (2022), *Accreditation Metrics*. [11]
- FLA (2022), *Independent External Assessment Procedures for Manufacturing Supply Chains*. [17]
- FLA (2022), *Principles of Fair Labor and Responsible Production*, https://www.fairlabor.org/wp-content/uploads/2022/05/Production_Principals_2022_REV_English.pdf. [6]
- FLA (2022), *Principles of Fair Labor and Responsible Sourcing*, https://www.fairlabor.org/wp-content/uploads/2022/05/Sourcing_Principals_2022_REV_English-1.pdf. [1]
- FLA (2021), *Fair Labor Code*, <https://www.fairlabor.org/accountability/standards/manufacturing/mfg-code/>. [7]
- FLA (2020), *24 Hour Alert Findings SOP*. [14]
- OECD (2024), *Methodology for OECD alignment assessments of sustainability initiatives*, OECD Publishing, Paris, <https://doi.org/10.1787/b533c060-en>. [3]
- OECD (2024), *Terms and Conditions governing OECD Alignment Assessments*, <https://www.oecd.org/content/dam/oecd/en/topics/policy-sub-issues/due-diligence-guidance-for-responsible-business-conduct/OECD-AA-TaC-cross-sectoral.pdf>. [5]
- OECD (2023), *OECD Guidelines for Multinational Enterprises on Responsible Business Conduct*, OECD Publishing, Paris, <https://doi.org/10.1787/81f92357-en>. [16]
- OECD (2018), *OECD Due Diligence Guidance for Responsible Supply Chains in the Garment and Footwear Sector*, OECD Publishing, Paris, <https://doi.org/10.1787/9789264290587-en>. [9]
- OECD (n.d.), *Alignment Assessment Tool*, <https://airtable.com/appXZrchGJ9UiKUR2/shrbzPihkNjr6bgdO/tbl8jJNyi5tF05S9A> (accessed on 18 June 2026). [4]
- OECD (n.d.), *Sustainability Initiatives for Responsible Business Conduct*, <https://www.oecd.org/en/topics/sub-issues/due-diligence-guidance-for-responsible-business-conduct/sustainability-initiatives-for-responsible-business-conduct.html> (accessed on 18 June 2026). [2]

Notes

¹ Full OECD alignment assessments constitute three core components: (a) Standards Assessment: An assessment of the initiative's written standards against assessment criteria in the assessment tool based on the OECD Due Diligence Guidance; (b) Implementation Assessment: An assessment of the initiative's implementation of its standards, including the adequacy of the initiative's monitoring and accountability mechanisms for participating companies, and the due diligence activities the initiative itself carries out (c) Governance Assessment: An assessment of the initiative's governance and internal management systems against governance, cross-recognition, transparency, and other criteria. See (OECD, 2024^[3]).

² Facilitation initiatives refer to initiatives that facilitate or inform enterprises' risk management and broader due diligence responsibilities, but do not monitor, assess, assure, verify, or certify enterprise performance. They may, for example, provide information (e.g. country-level updates, sector-, product- or site-specific information, such as product or material life cycle assessment data, or chain of custody or other traceability information), tools (e.g. reporting templates, living wage assessment ladders, supplier assessment tools) and guidance (e.g. guidance on chemical management best practice, establishing grievance mechanisms, improving purchasing practices or supplier assessments) or set environmental or social targets or metrics for enterprises.

³ Verification initiatives refer to initiatives that set written requirements for enterprises or products and monitor, assess, verify, certify, assure, or benchmark enterprises, sites, products, suppliers, or other business partners against those requirements.

⁴ The FLA Fair Labor Code covers key labour rights topics including employment relationships, non-discrimination, harassment and abuse, forced labour, child labour, freedom of association and collective bargaining, health and safety, hours of work, and compensation.

⁵ Please note that 4 criteria (6.13, 6.14, 6.23, 6.30) were merged into 2 criteria (6.01, 6.02) in a revision of the assessment criteria in 2024. Past alignment assessments differ in this regard.

⁶ As highlighted in the Garment Guidance, a core purpose of conducting due diligence is to avoid impacts. However, enterprises should "provide for or co-operate through legitimate processes in the remediation of adverse human rights impacts where they identify that they have caused or contributed to these impacts." (OECD, 2023, p. IV.6^[16]).

⁷ Please note that 2 additional criteria were deleted in a revision of the assessment criteria in 2024. Past alignment assessments differ in this regard.

